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FINANCE MINISTER NIRMALA SITHARAMAN HAS PROMISED DIRECT LISTING ON EXCHANGES AT GIFT CITY SOON

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at the riverfront is being developed for people to live there and enjoy their leisure time," he notes, adding that overall, things are moving in the right direction and a big push has come from the government.

GIFT CITY OFFERS several advantages to businesses. Banks can set up branches as well as subsidiaries and get a 10-year tax exemption. "Tax holiday of 10 years for banks in GIFT IFSC translates to reduced borrowing costs, which may attract additional business for banks in GIFT IFSC given that borrowers will always tend to reduce borrowing cost and therefore borrow from banks in GIFT IFSC," said a note by EY India. "This could create new opportunities for foreign banks and help Indian companies get funding for local acquisitions," it said. And recently, the Central Board of Direct Taxes (CBDT) notified tax exemptions for foreign investors earning income from the IFSC in GIFT City through all capital market intermediaries. .

A recent proposal to allow direct listing of Indian companies on exchanges operating out of GIFT City has also created considerable excitement among businesses. At the Vibrant Gujarat summit, the finance minister promised that this will be enabled at the earliest. There are expectations that it would kick off by April 2024. "Once notified, the unlisted companies,

including Indian start-ups, shall be able to list on IFSC exchanges. Presently, Indian companies have done secondary listing of bonds of over \$52 billion on the IFSC exchanges," said the EY paper.

Two of GIFT City's exchanges—BSE's India INX and NSE's International Exchange—are likely to be merged by January-end. With the GIFT Nifty contract as the main product, average daily turnover is about \$20 billion on the international exchanges. With dollar-denominated trades, foreign investors find it to be a more cost-effective option.

Ajay Tyagi, former chairman of markets regulator Securities and Exchange Board of India, notes that capital market activities in GIFT City are currently centred around the GIFT Nifty. "The main and essential purpose of capital markets is to facilitate fundraising by the corporates. In some ways, this activity is yet to take off," he says, adding that activities such as green debt raising and proposals for direct listing, reverse flipping of start-up companies that flipped abroad earlier, or enabling holding companies in foreign locations to move to GIFT City, are likely to help bolster capital-raising activities.

Sundararaman Ramamurthy, MD & CEO of BSE, says GIFT City will aid a lot of entities, especially those that want to raise money in dollars. "GIFT City will be augmenting the domestic markets rather than competing with it," he says.

The Union Budget 2023-24 also gave a significant